

Multiple Choice

1. **Answer:** A

Options: A) fallen 50 percent.; B) fallen 25 percent.; C) risen 15 percent.; D) risen 20 percent.; E) fallen 20 percent.

Note: Correct option: A - fallen 50 percent.

2. **Answer:** A

Options: A) keep the price constant as demand is elastic.; B) decrease price as demand is inelastic.; C) decrease the quality of the product.; D) increase price as demand is elastic.; E) increase price as demand is inelastic.

Note: Correct option: A - keep the price constant as demand is elastic.

3. **Answer:** E

Options: A) Scarcity is relevant only for non-renewable resources in the circular flow model; B) Scarcity is only relevant in the factor markets of the circular flow model; C) Scarcity is only considered in the household sector of the circular flow model; D) Scarcity is addressed through government intervention in the circular flow model; E) Scarcity is implicit in the entire analysis of the circular flow model

Note: Correct option: E - Scarcity is implicit in the entire analysis of the circular flow model

4. **Answer:** D

Options: A) increase long-run output with no significant impact on inflation.; B) have no significant impact on either output or inflation.; C) lower the unemployment rate while also lowering the rate of inflation.; D) increase short-run output but it is the source of long-run inflation.; E) increase the nation's long-run capacity to produce.

Note: Correct option: D - increase short-run output but it is the source of long-run inflation.

5. **Answer:** A

Options: A) Historical data contradicts theory; B) Oligopolies are less common in practice than in theory; C) There is no contradiction between theory and practice; D) Historical data is insufficient to determine the efficiency of oligopolies; E) Oligopolies typically demonstrate higher innovation rates than predicted

Note: Correct option: A - Historical data contradicts theory

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'built-in inflation'.
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Private sector investments in technology startups'.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'Higher interest rates that decrease private investment'.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'have no effect on the price level but raise real output'.

Long Form Response

11. **Answer:** 3.47% Per year. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Public debt can exert inflationary pressure by increasing consumption spending and representing a backlog in buying power that may be converted at inconvenient times.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key